DEVELOPMENT PROCESSES AND THE DEVELOPMENT INDUSTRY

FOUR ACTORS, ONE SYSTEM → LEGAL VEHICLE CARD → CORPORATE SOCIAL RESPONSIBILITY CARD → FOUR REGULATORY LAYERS → THE FOREIGN-CONTRIBUTION GATE → FUNDING TO OUTCOME

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

★ PRIMARY CORE FLOW · ◉ SUBORDINATE EXTRA · ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g1 and all prior artifacts unchanged

00

STAGE 00 FOUR ACTORS, ONE SYSTEM

FOUR ACTORS, ONE SYSTEM · BILATERAL AND MULTILATERAL DONORS, FOUNDATIONS, CORPORATE PROGRAMMES · LEGAL VEHICLES · PUBLIC CHARITABLE TRUST, SOCIETY, SECTION 8 COMPANY · NON-GOVERNMENTAL ORGANISATIONS AND SELF-HELP GROUP FEDERATIONS · SEPARATE FUNDING SOURCE FROM LEGAL VEHICLE FROM LAST-MILE IMPLEMENTER · MUST REMEMBER · DEVELOPMENT PROCESSES JOIN STATE INSTITUTIONS, MARKETS, COMMUNITIES, CIVIL

FUNDERS — bilateral and multilateral donors, foundations, corporate programmes → **LEGAL VEHICLES — public charitable trust, society, Section 8 company** → **IMPLEMENTERS — non-governmental organisations and self-help group federations** → **RULE — separate funding source from legal vehicle from last-mile implementer** → **MUST REMEMBER: Development processes join state institutions, markets, communities, civil**

CORE CLAIM
- FUNDERS → bilateral and multilateral donors, foundations, corporate programmes
- LEGAL VEHICLES → public charitable trust, society, Section 8 company

MECHANISM
- IMPLEMENTERS → non-governmental organisations and self-help group federations
- RULE → separate funding source from legal vehicle from last-mile implementer

CONSEQUENCE / LIMIT
- MUST REMEMBER: Development processes join state institutions, markets, communities, civil…
- FUNDERS → bilateral and multilateral donors, foundations, corporate programmes

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULE → separate funding source from legal vehicle from last-mile implementer.

01

STAGE 01 LEGAL VEHICLE CARD

LEGAL VEHICLE CARD · DEED PLUS STATE PUBLIC-TRUST LAW; THE 1882 TRUSTS ACT · SOCIETIES REGISTRATION ACT, 1860 AND STATE VARIANTS; MEMBERSHIP-BASED ACCOUNTABILITY · SECTION 8 COMPANY · COMPANIES ACT, 2013; PROFITS MAY NOT BE DISTRIBUTED TO · SCRUTINY LADDER · TRUST BELOW SOCIETY BELOW SECTION 8 COMPANY IN EXTERNAL

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
TRUST → deed plus state public-trust law; the 1882 Trusts Act excludes charitable endowments	SECTION 8 COMPANY → Companies Act, 2013; profits may not be distributed to members	TRUST → deed plus state public-trust law; the 1882 Trusts Act excludes charitable endowments
SOCIETY → Societies Registration Act, 1860 and state variants; membership-based accountability	SCRUTINY LADDER → trust below society below Section 8 company in external disclosure	SOCIETY → Societies Registration Act, 1860 and state variants; membership-based accountability

CORE CLAIM
- TRUST → deed plus state public-trust law; the 1882 Trusts Act excludes charitable endowments
- SOCIETY → Societies Registration Act, 1860 and state variants; membership-based accountability

MECHANISM
- SECTION 8 COMPANY → Companies Act, 2013; profits may not be distributed to members
- SCRUTINY LADDER → trust below society below Section 8 company in external disclosure

CONSEQUENCE / LIMIT
- TRUST → deed plus state public-trust law; the 1882 Trusts Act excludes charitable endowments
- SOCIETY → Societies Registration Act, 1860 and state variants; membership-based accountability

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SCRUTINY LADDER → trust below society below Section 8 company in external disclosure.

02

STAGE 02 CORPORATE SOCIAL RESPONSIBILITY CARD

CORPORATE SOCIAL RESPONSIBILITY CARD · SECTION 135 · STATUTORY MINIMUM SPEND OF TWO PER CENT OF AVERAGE · COMPANIES CROSSING SPECIFIED NET WORTH, TURNOVER OR NET PROFIT · SCHEDULE VII · BOUNDED ACTIVITY LIST · HEALTH, EDUCATION, POVERTY, ENVIRONMENT, RURAL DEVELOPMENT · RULES LAYER

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SECTION 135 → statutory minimum spend of two per cent of average net profits of preceding years	SCHEDULE VII → bounded activity list: health, education, poverty, environment, rural development	SECTION 135 → statutory minimum spend of two per cent of average net profits of preceding years
APPLICABILITY → companies crossing specified net worth, turnover or net profit thresholds	RULES LAYER → CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section	APPLICABILITY → companies crossing specified net worth, turnover or net profit thresholds

CORE CLAIM
- SECTION 135 → statutory minimum spend of two per cent of average net profits of preceding years
- APPLICABILITY → companies crossing specified net worth, turnover or net profit thresholds

MECHANISM
- SCHEDULE VII → bounded activity list: health, education, poverty, environment, rural development
- RULES LAYER → CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section

CONSEQUENCE / LIMIT
- SECTION 135 → statutory minimum spend of two per cent of average net profits of preceding years
- APPLICABILITY → companies crossing specified net worth, turnover or net profit thresholds

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULES LAYER → CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section.

03

STAGE 03 FOUR REGULATORY LAYERS

FOUR REGULATORY LAYERS · STATE REGISTRAR OR REGISTRAR OF COMPANIES; LEGAL EXISTENCE ONLY · FOREIGN FUNDING · MINISTRY OF HOME AFFAIRS UNDER THE 2010 ACT AS · TAX STATUS · INCOME TAX DEPARTMENT, SECTIONS 12A AND 80G; EXEMPTION AND · GRANT IDENTITY · NITI AAYOG NGO DARPAN UNIQUE IDENTIFICATION; NOT PERMISSION

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
INCORPORATION → state registrar or Registrar of Companies; legal existence only	TAX STATUS → Income Tax Department, Sections 12A and 80G; exemption and donor deduction	INCORPORATION → state registrar or Registrar of Companies; legal existence only
FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020	GRANT IDENTITY → NITI Aayog NGO Darpan unique identification; not permission	FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020

CORE CLAIM
- INCORPORATION → state registrar or Registrar of Companies; legal existence only
- FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020

MECHANISM
- TAX STATUS → Income Tax Department, Sections 12A and 80G; exemption and donor deduction
- GRANT IDENTITY → NITI Aayog NGO Darpan unique identification; not permission

CONSEQUENCE / LIMIT
- INCORPORATION → state registrar or Registrar of Companies; legal existence only
- FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GRANT IDENTITY → NITI Aayog NGO Darpan unique identification; not permission.

04

STAGE 04 THE FOREIGN-CONTRIBUTION GATE

THE FOREIGN-CONTRIBUTION GATE · ROUTE ONE · REGISTRATION FOR ONGOING RECEIPT OF FOREIGN CONTRIBUTION · ROUTE TWO · CASE-SPECIFIC PRIOR PERMISSION FOR A DEFINED CONTRIBUTION · DESIGNATED ACCOUNT AT THE STATE BANK OF INDIA MAIN · ADMINISTRATIVE-EXPENSE PROPORTION CAPPED; SUB-GRANTING BETWEEN ENTITIES RESTRICTED

ROUTE ONE — registration for ongoing receipt of foreign contribution

ROUTE TWO — case-specific prior permission for a defined contribution → **CONDITIONS — designated account at the State Bank of India main branch, New Delhi** → **LIMITS — administrative-expense proportion capped; sub-granting between entities restricted**

CORE CLAIM
- ROUTE ONE → registration for ongoing receipt of foreign contribution
- ROUTE TWO → case-specific prior permission for a defined contribution

MECHANISM
- CONDITIONS → designated account at the State Bank of India main branch, New Delhi
- LIMITS → administrative-expense proportion capped; sub-granting between entities restricted

CONSEQUENCE / LIMIT
- ROUTE ONE → registration for ongoing receipt of foreign contribution
- ROUTE TWO → case-specific prior permission for a defined contribution

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMITS → administrative-expense proportion capped; sub-granting between entities restricted.

05

STAGE 05 FUNDING TO OUTCOME

FUNDING TO OUTCOME · FUNDING SOURCE · PROJECT CYCLE, FOUNDER PRIORITY OR SCHEDULE VII COMPLIANCE SETS · LEGAL VEHICLE · DETERMINES DISCLOSURE AND GOVERNANCE QUALITY AVAILABLE TO A BENEFICIARY · LOCAL SOCIAL CAPITAL AND CAPACITY DETERMINE LAST-MILE FIDELITY · UPWARD TO DONOR AND REGULATOR; NEVER DOWNWARD TO THE · CLOSE DISTINCTION

FUNDING SOURCE — project cycle, founder priority or Schedule VII compliance sets the frame → **LEGAL VEHICLE — determines disclosure and governance quality available to a beneficiary** → **IMPLEMENTER — local social capital and capacity determine last-mile fidelity** → **ACCOUNTABILITY — upward to donor and regulator; never downward to the beneficiary** → **CLOSE DISTINCTION: Development industry is an analytical label for organisations**

CORE CLAIM
- FUNDING SOURCE → project cycle, founder priority or Schedule VII compliance sets the frame
- LEGAL VEHICLE → determines disclosure and governance quality available to a beneficiary

MECHANISM
- IMPLEMENTER → local social capital and capacity determine last-mile fidelity
- ACCOUNTABILITY → upward to donor and regulator; never downward to the beneficiary

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Development industry is an analytical label for organisations;…
- FUNDING SOURCE → project cycle, founder priority or Schedule VII compliance sets the frame

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Development industry is an analytical label for organisations;.

06

STAGE 06 FIVE-TEST GRID

FIVE-TEST GRID · ADDS CAPACITY, OR SUBSTITUTES FOR A PUBLIC OBLIGATION STILL · CHOSEN FROM DISAGGREGATED EXCLUSION DATA, OR FROM THE FUNDER · CAN A BENEFICIARY OBTAIN RECORDS, COMPLAIN AND FORCE CORRECTION · SUSTAINABILITY AND FIT · WHO OPERATES AFTER THE GRANT, AND IS IT CONVERGED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed	ACCOUNTABILITY → can a beneficiary obtain records, complain and force correction	ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed
NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority	SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan	NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

CORE CLAIM
- ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed
- NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

MECHANISM
- ACCOUNTABILITY → can a beneficiary obtain records, complain and force correction
- SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan

CONSEQUENCE / LIMIT
- ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed
- NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan.

07

STAGE 07 SUBSTITUTION AGAINST COMPLEMENTARITY

SUBSTITUTION AGAINST COMPLEMENTARITY · NON-STATE DELIVERY IS A SYMPTOM OF STATE FAILURE AND · FLEXIBILITY, SPEED AND RISK-TAKING ARE STRUCTURALLY EASIER OUTSIDE PROCUREMENT · THE ADDITIONALITY TEST DECIDES THE CASE RATHER THAN THE · AGGREGATE RISK · DUPLICATION AND VISIBLE-NEED BIAS WHERE CONVERGENCE IS ABSENT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it	RESOLUTION → the additionality test decides the case rather than the thesis	SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it
COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement	AGGREGATE RISK → duplication and visible-need bias where convergence is absent	COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

CORE CLAIM
- SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it
- COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

MECHANISM
- RESOLUTION → the additionality test decides the case rather than the thesis
- AGGREGATE RISK → duplication and visible-need bias where convergence is absent

CONSEQUENCE / LIMIT
- SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it
- COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: AGGREGATE RISK → duplication and visible-need bias where convergence is absent.

08

STAGE 08 VISIBLE-NEED BIAS

VISIBLE-NEED BIAS · SCHEDULE VII LIST PLUS REPUTATIONAL INCENTIVE · CROWDING INTO SCHOOL BUILDINGS, SANITATION HARDWARE AND OTHER LEGIBLE · MENTAL HEALTH, CARE WORK, LEGAL AID AND DISABILITY ACCESS · A CONVERGENCE FAILURE, NOT A FAILURE OF GENEROSITY

DRIVER — Schedule VII list plus reputational incentive → **EFFECT — crowding into school buildings, sanitation hardware and other legible sectors** → **SHORTFALL — mental health, care work, legal aid and disability access stay underfunded** → **DIAGNOSIS — a convergence failure, not a failure of generosity**

CORE CLAIM
- DRIVER → Schedule VII list plus reputational incentive
- EFFECT → crowding into school buildings, sanitation hardware and other legible sectors

MECHANISM
- SHORTFALL → mental health, care work, legal aid and disability access stay underfunded
- DIAGNOSIS → a convergence failure, not a failure of generosity

CONSEQUENCE / LIMIT
- DRIVER → Schedule VII list plus reputational incentive
- EFFECT → crowding into school buildings, sanitation hardware and other legible sectors

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DIAGNOSIS → a convergence failure, not a failure of generosity.

09

STAGE 09 MULTI-LEVEL PLANNING CARD

MULTI-LEVEL PLANNING CARD · UNION, STATE, DISTRICT AND LOCAL PLAN WHAT EACH IS · DISTRICT PLANNING COMMITTEE UNDER ARTICLE 243ZD; OPERATIONALISATION UNEVEN · FISCAL PRECONDITION · THE STATE FINANCE COMMISSION · KERALA PEOPLE'S PLAN CAMPAIGN, 1996; FUNDS, FUNCTIONS AND FUNCTIONARIES

TIERS — Union, state, district and local plan what each is best placed to know → **CONSOLIDATION — District Planning Committee under Article 243ZD; operationalisation uneven** → **FISCAL PRECONDITION — the State Finance Commission** → **DEMONSTRATION — Kerala People's Plan Campaign, 1996; funds, functions and functionaries together**

CORE CLAIM
- TIERS → Union, state, district and local plan what each is best placed to know
- CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

MECHANISM
- FISCAL PRECONDITION → the State Finance Commission
- DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together

CONSEQUENCE / LIMIT
- TIERS → Union, state, district and local plan what each is best placed to know
- CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together.

10

STAGE 10 FOUR DONOR-DISTORTION CHANNELS

FOUR DONOR-DISTORTION CHANNELS · DONOR PRIORITY SETS THE PROBLEM BEFORE LOCAL NEED IS · REPORTING REWARDS COUNTABLE OUTPUTS, SO PARTICIPATORY PROCESS IS CUT · PROJECT-BASED TIME-BOUND GRANTS MISMATCH A MULTI-YEAR INSTITUTION-BUILDING HORIZON · ACCOUNTABILITY SUBSTITUTION · UPWARD REPORTING REPLACES DOWNWARD ANSWERABILITY

AGENDA — donor priority sets the problem before local need is assessed → **METRIC — reporting rewards countable outputs, so participatory process is cut first** → **CYCLE — project-based time-bound grants mismatch a multi-year institution-building horizon** → **ACCOUNTABILITY SUBSTITUTION — upward reporting replaces downward answerability**

CORE CLAIM
- AGENDA → donor priority sets the problem before local need is assessed
- METRIC → reporting rewards countable outputs, so participatory process is cut first

MECHANISM
- CYCLE → project-based time-bound grants mismatch a multi-year institution-building horizon
- ACCOUNTABILITY SUBSTITUTION → upward reporting replaces downward answerability

CONSEQUENCE / LIMIT
- AGENDA → donor priority sets the problem before local need is assessed
- METRIC → reporting rewards countable outputs, so participatory process is cut first

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCOUNTABILITY SUBSTITUTION → upward reporting replaces downward answerability.

11

STAGE 11 ANSWER SPINE FOR A DISTANCE DEMAND

ANSWER SPINE FOR A DISTANCE DEMAND · NAME DISTANCE AS AN INSTITUTIONAL PROPERTY OF THE FUNDING · FOUR CHANNELS, THEN THE FIVE-TEST GRID APPLIED TO ONE · CONVERGENCE WITH THE LOCAL PLAN, CO-DECISION, EXIT PLANNING, DISCLOSED · GRADED VERDICT RECORDING THE ONE OPEN ROUTING CONFLICT RATHER · EVIDENCE LIMIT · USE SHG-BANK LINKAGE, DISTRICT MISSIONS

OPEN — name distance as an institutional property of the funding chain, not only of → **BUILD — four channels, then the five-test grid applied to one case** → **CORRECT — convergence with the local plan, co-decision, exit planning, disclosed funding and cost** → **CLOSE — graded verdict recording the one open routing conflict rather than concealing it** → **EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use SHG-bank linkage, district missions**

CORE CLAIM
- OPEN → name distance as an institutional property of the funding chain, not only of the state
- BUILD → four channels, then the five-test grid applied to one case

MECHANISM
- CORRECT → convergence with the local plan, co-decision, exit planning, disclosed funding and cost
- CLOSE → graded verdict recording the one open routing conflict rather than concealing it

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use SHG-bank linkage, district missions,…
- OPEN → name distance as an institutional property of the funding chain, not only of the state

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE → graded verdict recording the one open routing conflict rather than concealing it.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · THE 2024 PYQ'S CAREFUL PHRASING ("HAVE THE POTENTIAL TO · CSR'S SCHEDULE VII ACTIVITY-LIST CONSTRAINT IS A DOUBLE-EDGED DESIGN · IT PREVENTS · CROSS-BORDER DONOR FUNDING FOR INDIAN DEVELOPMENT WORK INTERSECTS DIRECTLY · MINISTRY OF CORPORATE AFFAIRS ADMINISTERS SECTION 8 COMPANY REGISTRATION · INCOME TAX DEPARTMENT ADMINISTERS CHARITABLE-TRUST TAX-EXEMPTION COMPLIANCE (REGISTRATION · NO SINGLE UNIFIED REGULATOR SUPERVISES "THE DEVELOPMENT INDUSTRY" AS

OPTIONAL SOURCE DEPTH	ADVANCED DEBATE	LEGACY / NUANCE
CAUTION: The 2024 PYQ's careful phrasing ("have the potential to make — more inclusive") is an	Income Tax Department administers charitable-trust tax-exemption compliance (registration	CAUTION: Disaster relief remains the clearest example where charitable-trust/CSR flexibility
CAUTION: CSR's Schedule VII activity-list constraint is a double-edged design feature: it prevents	CAUTION: No single unified regulator supervises "the development industry" as such — regulatory	CAUTION: Charitable/CSR development trades scale and universality (which the state, in
CAUTION: Cross-border donor funding for Indian development work intersects directly with FCRA	CAUTION: A well-governed public charitable trust running a transparent, locally consulted health	CAUTION: Donor/CSR funding cycles being project-based and time-bound can create sustainability
Ministry of Corporate Affairs administers Section 8 company registration and CSR	CAUTION: Boundary case: a CSR programme designed purely to satisfy Schedule VII compliance with	CAUTION: Weak, fragmented regulatory oversight (MCA/Income Tax/state registrars/MHA) leaves gaps

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels